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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Global markets extended their recovery this week, as sentiment improved following continued signs of de-escalation in Middle East tensions, particularly around the Strait of Hormuz. The region remains a critical artery for global energy supply, and easing fears of prolonged disruption provided relief to risk assets.
- The improvement in sentiment comes after earlier rhetoric from Donald Trump around potential escalation had initially heightened market anxiety, particularly with threats targeting Iranian infrastructure. However, subsequent indications of a ceasefire and potential wind-down in military operations helped stabilize expectations, driving a rebound in global equities.
- Despite this, oil markets remain highly sensitive to developments in the region, with prices still elevated as investors continue to price in residual supply-side risks. The lingering uncertainty around the durability of the ceasefire and the security of key shipping routes continues to pose upside risks to inflation and downside risks to global growth.
- On the macro front, US economic data continued to signal resilience, particularly in the labor market, reinforcing expectations that the Federal Reserve is likely to maintain a cautious stance. This dynamic, strong growth alongside persistent inflation risks continues to shape cross-asset market movements

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	6,817	6,583	▲ 3.6%
DAX	23,804	23,168	▲ 2.7%
Nikkei 225	57,473	53,123	▲ 8.2%
Hang Seng	25,894	25,117	▲ 3.1%
FTSE 100 (FTSE)	10,601	10,436	▲ 1.6%
Dow Jones	47,917	46,505	▲ 3.0%
Median			**▲ 3.1%**

Source: Investing.com AIB AXYS Research

- Global equity markets posted strong gains during the week, extending the rebound observed previously, as improving geopolitical sentiment supported a shift back into risk assets.
- In the US, markets remained on an upward trajectory, with the Dow Jones Industrial Average rising by 3.0% to 47,917, as investors responded positively to signs of a potential de-escalation in the conflict and reduced fears of prolonged supply disruptions.
- Across Europe, performance was broadly positive, with Germany's DAX advancing by 2.7% to 23,804, while the UK's FTSE 100 also recorded gains, supported by strength in cyclical sectors and improved investor confidence.
- In Asia, markets mirrored the global trend, with Hong Kong's Hang Seng Index rising by 3.1% to 25,894, while Japan's Nikkei 225 recorded a modest gain of 1.6%, as stabilizing global conditions supported regional equities.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.34%	4.32%	▲ 2.0bps
UK 10 Yr Gilt	4.77%	4.78%	▼ (0.4bps)
Germany 10 Yr Bund	3.06%	3.00%	▲ 6.6bps
Japan 10 Year Bond	2.44%	2.39%	▲ 5.7bps

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond markets reflected a shift in sentiment during the week, with yields generally edging higher as easing geopolitical tensions reduced safe-haven demand, while persistent inflation concerns limited the extent of the rally.
- In the US, the 10-year Treasury yield rose by 2.0 bps to 4.34%, as markets balanced improving risk sentiment against strong macroeconomic data, particularly labor market resilience, which continues to support a higher-for-longer rate narrative.
- In Europe, Germany's 10-year Bund yield increased by 6.6 bps to 3.06%, as investors remained cautious about inflationary pressures stemming from elevated energy prices linked to ongoing tensions in the Middle East. Meanwhile, the UK's 10-year gilt yield edged lower by 0.4 bps to 4.77%, reflecting some moderation in yields as geopolitical risks showed signs of easing.
- In Asia, Japan's 10-year government bond yield rose by 5.7 bps to 2.44%, as markets continued to adjust to shifting expectations around monetary policy normalization.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7062	0.6891	▲ 248bps
USD/JPY	159.300	159.590	▼ (18bps)
GBP/USD	1.346	1.319	▲ 203bps
EUR/USD	1.172	1.152	▲ 176bps
US Dollar Index	98.44	99.99	▼ (155bps)

Source: Investing.com AIB AXYS Research

- The US dollar weakened during the week, with the US Dollar Index (DXY) declining by 155 bps to 98.44, as easing geopolitical tensions reduced demand for safe-haven assets.
- This shift in sentiment saw broad-based strength across major currencies, with the Euro appreciating by 176 bps to 1.172, while the British Pound gained 203 bps to 1.346, supported by improved global risk appetite and a partial unwinding of prior dollar strength.
- The Australian dollar also strengthened, rising by 248 bps to 0.7062, reflecting a move into risk-sensitive currencies. Meanwhile, the Japanese Yen appreciated modestly, with USD/JPY declining by 18 bps to 159.300, as safe-haven flows moderated in line with easing geopolitical concerns.
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